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Ambush Marketing and IP Expansion: FIFA, Bavaria and the 2010 World Cup South Africa

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I. Introduction

At the FIFA World Cup in South Africa in 2010, a group of female supporters wearing orange dresses were escorted out of the stadium. The reason? They were accused of ambush advertising on behalf of the Dutch beer company Bavaria, in conflict with the official sponsor of the World Cup and rival beer brand, Budweiser. This chapter discusses the extent to which the law can stop sporting fans wearing the colour of a team strip to a game, and prevent ambush marketing practices more generally. It criticises the protectionist regimes which have emerged around the world to legislate against ambush marketing and in particular, the overreaching attempts by major event organisers to entrench their intellectual property rights at the expense of fans and free speech.¹ At the same time, this chapter acknowledges the importance of advertising revenue for major event organisers. The chapter ultimately advocates for a more balanced approach to regulating these competing interests – an approach which does not encroach of speech or penalise team supporters and ultimately, consumers.

The chapter begins with an explainer – defining ambush marketing, the various tactics which may constitute ambush marketing, and the reasons why it is

¹ Sometimes referred to as ‘intellectual property overreach’, this term is based on the overreach by publishers, producers, artists and brand owners who abuse the intellectual property system by claiming stronger and broader rights than the law actually affords them. Thus, it is not a critique of the nature of intellectual property rights, their scope or their duration per se – but the way intellectual property rights holders use their rights in a way that interferes with the legitimate use and or reproduction of works, at great cost to society. See J Mazzone, *Copyfraud and Other Abuses of Intellectual Property Law* (Stanford Law Books, 2011). Claims of intellectual property overreach are often levelled at cultural institutions when it comes to copyright. See, eg, LD Pittman, ‘Combating Copyright Overreach: Keeping 3D Representations of Cultural Heritage in the Public Domain’ 95(4) *New York University Law Review* (2020) 1192–1228.

both criticised and legitimatised as a marketing strategy. The next part examines the various legal regimes which may be used to stop this marketing technique. It begins by providing a brief overview of the potential causes of action based upon the intellectual property system and consumer protection legislation. The chapter then considers the transnational norms that have emerged and the nation specific statutory regimes which protect against the unauthorised use of designated major event insignia. Attention then turns to the aforementioned controversy involving the Federation Internationale de Football Association (FIFA) and the Dutch beer company Bavaria, with a special focus on The Merchandise Marks Act 17 of 1941 (South Africa) ('Merchandise Marks Act, 1941') and its application in that case.² The final part of this chapter seeks to reconcile the policy objectives of these expansionist legal regimes and their application to ambush marketing tactics and questions the legitimacy of laws such as the Merchandise Marks Act 1941. The chapter ultimately concludes that these types of causes of action should not be used to extend brand owners' rights beyond what is necessary to prevent consumer confusion, and it most certainly should not be used to limit the speech of team supporters.

II. What is Ambush Marketing?

Ambush marketing is a nuanced and constantly evolving practice, and as such, scholars have been unable to settle on a precise definition. Early scholars defined ambush marketing as '... a planned effort (campaign) by an organization to associate itself indirectly with an event in order to gain at least some of the recognition and benefits that are associated with being an official sponsor'.³ Others have subsequently taken a more limited (and misguided) view and define ambush marketing as a hostile exercise, where '... in all cases, ambushers have aimed to enhance their own brand equity, at the expense of official sponsors, by illegitimately associating their name with the positive brand equity of the target sport or event'.⁴ Simon Chadwick and Nicholas Burton define ambush marketing more broadly as encompassing the '... marketing activities of a brand seeking to capitalize on the attention, awareness, customer equity, and goodwill generated by having an association with an event or property, beyond the official or authorised rights of association delivered by that event or property'.⁵

Those involved with the organisations responsible for these major events describe ambush marketing as '... a deliberate attempt to deceive the consuming

² The Merchandise Marks Act 17 of 1941 (South Africa) which commenced 18 October 1941.

³ DM Sandler and D Shani, 'Olympic Sponsorship vs Ambush Marketing – Who Gets the Gold?' (1989) 29(4) *Journal of Advertising Research* 9, 1.

⁴ F Farrelly, P Quester and SA Greyser, 'Defending the Co-Branding Benefits of Sponsorship B2B Partnerships: The Case of Ambush Marketing' (2005) 45(3) *Journal of Advertising Research* 339, 340.

⁵ S Chadwick and N Burton, 'The Evolving Sophistication of Ambush Marketing: A Typology of Strategies' (2011) 53(6) *Thunderbird International Business Review* 709, 714.

public, thereby achieving an undeserved advantage for a company that passes itself off as a sponsor, but pays nothing to support the event or its participants.⁶ In fact, some scholars suggest the overarching aim of the ambush marketer is to avoid the up-front investment of sponsorship, while at the same time, gaining the benefits and prestige of the association.⁷ Others argue ambush marketing gives advertisers an unfair advantage, and that the practice contravenes a basic premise of ethical business practice – that of truth in advertising and business communications.⁸ It is for that reason that some describe the practice as not only unethical, but also equate ambush marketing as akin to stealing.⁹ Moreover, the practice is seen by some to undermine the official sponsors of these events, and the value of their sponsorship deals, putting at risk the ability of event organisers to sell these types of sponsorships in the future. Event organisers and official sponsors, therefore, are both affected by the practice of ambush marketing.

Of course, the legitimacy of ambush marketing depends on the perspective from which it is viewed.¹⁰ Ambush marketing activities are not always illegitimate. For example, ambush marketers may seek to make a political statement about a major event or the organisation behind that major event, and therefore may provide legitimate commentary on current day issues that are in the public interest.¹¹ Moreover, some associative ambush marketing techniques may use imagery or terminology to create an allusion to an organisation that has links to a sporting event or property, without making any specific references or overtly citing an official association with the property. There are also genuine, pragmatic reasons why brands use tactics that may be labelled as ambush marketing. Given the cost of sponsorships and the fact there are generally only sponsorship deals available for one company or product in each available category, many advertisers ‘... willingly pass on the opportunity to sponsor, and undertake the search for ways to compete in the sponsored space without bearing the onerous costs, and often the heavy burden, of the scandals and other misadventures often associated with large modern sponsored properties ...’¹²

⁶ M Payne, ‘Ambush Marketing: The Undeserved Advantage’ (1998) 15(4) *Psychology & Marketing* 323, 325. Note that Michael Payne wrote this article in his capacity as a marketing executive with the International Olympic Committee.

⁷ J Sebel and D Gynge, ‘Protecting Olympic Gold: Ambush Marketing and Other Threats to Olympic Symbols and Indicia’ (1999) 22(3) *University of New South Wales Law Journal* 691, 692.

⁸ M Payne, ‘Ambush Marketing: The Undeserved Advantage’ (1998) 15(4) *Psychology & Marketing* 323–331.

⁹ T Meenaghan, ‘Ambush Marketing – A Threat to Corporate Sponsorship’ [1996] *Sloan Management Review* 103–113.

¹⁰ J Sebel and D Gynge, ‘Protecting Olympic Gold: Ambush Marketing and Other Threats to Olympic Symbols and Indicia’ (1999) 22(3) *University of New South Wales Law Journal* (1999) 691, 693.

¹¹ See generally K de Beer, ‘Let the Games Begin – Ambush Marketing and Freedom of Speech’ (2012) 6(2) *Human Rights & International Discourse* 284–301.

¹² J Welsh, *Ambush Marketing: What It Is and What It Isn’t* (Welsh Marketing Associates, 11 March 2010) <https://jcwelsh.wordpress.com/2010/03/11/ambush-marketing-what-it-is-what-it-isn%E2%80%99t/> (last accessed 20 August 2021).

Irrespective of debates about the precise motive, purpose and morality behind these tactics,¹³ at its core, ambush marketing is a practice used by advertisers to promote their brand by piggybacking off major public events, typically sporting events – the focus of this chapter – without purchasing the rights to do so as an official sponsor of that event. Ambush marketing can take many forms. Practices range from the unsophisticated methods used by advertisers in the 1980s, to more complex commercial relationships with broadcasters and even organisers.¹⁴ For example, simple ambush advertising techniques (popular in the 1980s) include using spectators to hold up advertising signs or wear branded colours to a major event, so these signs are captured by television broadcasters at no cost to the brand. Ambush marketers may buy advertising space near a major event or pay to brand transportation (ie, buses and trains) to and from a major event venue so as to create a connection to the major event, again, without the cost of being an official sponsor. Ambush advertising could even feature individuals or more commonly the athletes participating in the event in an advertising campaign, connecting the brand with the athlete, and as a corollary, the major event, again, without being an official sponsor. At the extreme end of the spectrum, direct ambush practices may involve using the colour scheme, branding or logos associated with the major event, or even using the trade mark of the event organiser to create a false impression that the advertiser is in some way associated with the event, or is in fact an official sponsor.

Ambush marketing emerged during the 1980s as a result of the centrally controlled sale of a small number of rights packages by bodies such as the International Olympic Committee (IOC) and FIFA, which effectively excluded non-rights holders from associating themselves with an event.¹⁵ Since that time, brands that have no official legal right of association have sought to access some of the benefits afforded to official sponsors by engaging in a range of ambush marketing activities. As the value of broadcasting rights and corporate sponsorships for these major sporting events have grown exponentially over the years, so have the instances of ambush marketing.¹⁶ Over the past couple of decades in particular,

¹³ For more on the ethics and morality of ambush advertising, see T Meenaghan, 'Point of View: Ambush Marketing: Immoral or Imaginative Practice?' (1994) 34(5) *Journal of Advertising Research* 77–88; P O'Sullivan and P Murphy, 'Ambush Marketing: The Ethical Issues' (1998) 15(4) *Psychology & Marketing* 349–366. Also see M Payne, 'Ambush Marketing: The Undeserved Advantage' (1998) 15(4) *Psychology & Marketing* 323–331.

¹⁴ Simon Chadwick and Nicholas Burton have developed a typology of ambush marketing, spanning from 'predatory' ambush marketing to 'unintentional' ambush marketing and 'saturation' ambushing, where a brand strategically increases their marketing communications around the time of a major event in order to maximise brand awareness. For the full typology see S Chadwick and N Burton, 'The Evolving Sophistication of Ambush Marketing: A Typology of Strategies' (2011) 53(6) *Thunderbird International Business Review* 709, 715–717 (Table 2).

¹⁵ S Chadwick and N Burton, 'The Evolving Sophistication of Ambush Marketing: A Typology of Strategies' (2011) 53(6) *Thunderbird International Business Review* 709, 714.

¹⁶ It was reported that NBC paid US\$4.4 billion for the American broadcast rights to the 2016 Rio Summer Olympics through 2020, and a further US\$7.65 billion for the broadcast rights from 2021 to 2032. See C Settimi, 'The 2016 Rio Summer Olympics: By the Numbers', *Forbes* 5 August 2016)

there have been several highly publicised cases of ambush marketing at major sporting events, including the Olympics and the FIFA World Cup.

During the London 2012 Olympic Games for example, Nike (who was not an official sponsor) launched the 'Find Your Greatness' campaign featuring everyday individuals competing in various sports, filmed in locations called London, other than London, England – including London in Nigeria; London in South Africa; Little London in Jamaica, and London Ohio in the US. At the time, the press reported on the campaign as a deliberate attempt by Nike '... to test the limits of the Olympic rules on ambush marketing ...'.¹⁷ Nike has a long history of using ambush techniques. In 2008, the brand ran a campaign timed to coincide with the handover of the Beijing Olympics to London, featuring 2012 Olympic hopefuls including basketballer Luol Deng, middle-distance runner Emily Pidgeon and sprinter Ashlee Nelson.¹⁸ In 2010, Nike also ambushed the official FIFA World Cup sponsors with an ad featuring flashes of the future lives of sporting stars such as Wayne Rooney and Cristiano Ronaldo.¹⁹

It is not just sporting apparel brands that ambush major sporting events. The types of advertisers engaging in ambush marketing and indeed the types of events targeted are varied. At the 2011 US Open tennis tournament, Belgium beer brand Stella Artois littered the Long Island Rail Road train station terminal near the Billie Jean King National Tennis Centre with advertisements. The advertisements adopted tennis themes with slogans like 'the top-seeded Belgian' and 'a perfect match'. This is even though its rival, Heineken, was the official beer sponsor of the US Open.²⁰ More recently at the PyeongChang 2018 Winter Olympics, SK Telecom launched a series of broadcast ads using two South Korean Olympic athletes with slogans such as 'See you in PyeongChang' and 'See you in 5G Korea' – all at the expense of the official sponsor, KT Corporation.²¹

As these examples demonstrate, through the practice of ambush marketing, brands are able to leverage the advertising benefits from these major events, often with a global audience, gaining public exposure and awareness of their brand

www.forbes.com/sites/christinasettimi/2016/08/05/the-2016-summer-olympics-in-rio-by-the-numbers/?sh=534da766fa18 (last accessed 20 August 2021).

¹⁷ M Sweney, 'Olympics 2012: Nike Plots Ambush Ad Campaign', *The Guardian* (25 July 2012) www.theguardian.com/media/2012/jul/25/olympics-2012-nike-ambush-ad (last accessed 20 August 2021).

¹⁸ M Sweney, 'Olympics: Nike Aims to Cash in on 2012', *The Guardian* (22 August 2008) www.theguardian.com/media/2008/aug/22/advertising.marketingandpr?INTCMP=SRCH (last accessed 20 August 2021).

¹⁹ M Sweney, 'World Cup 2010: Nike Ad Beats Official Sponsors for Online Buzz', *The Guardian* (12 June 2010) www.theguardian.com/media/2010/jun/11/world-cup-2010-nike-ad-buzz?INTCMP=SRCH (last accessed 20 August 2021).

²⁰ C Minato, 'Ingenious Ambush Campaigns From Nike, Samsung and BMW Make Official Sponsorships Look Like A Waste', *Business Insider* (14 June 2012) www.businessinsider.com.au/best-ambush-marketing-campaigns-2012-6?r=US&IR=T#stella-artois-goes-to-the-us-open-unofficially-7 (last accessed 20 August 2021).

²¹ S Riberti, 'How Italy is Tackling Ambush Marketing Ahead of UEFA 2021 & 2026 Winter Olympics', *LawInSport* www.lawinsport.com/topics/item/how-italy-is-tackling-ambush-marketing-ahead-of-uefa-2021-2026-winter-olympics (last accessed 20 August 2021).

in the process. And brands have become accustomed to sailing close to the wind when it comes to ambush marketing tactics, without encroaching upon any sponsorship rights or related intellectual property rights. Many consider their techniques as legitimate corporate practice, allowing their company to participate in an important promotional opportunity, which they would have otherwise been denied access.²² Nevertheless, some brands have been accused of crossing the line, and legal proceedings have been instituted accordingly.²³ These legal proceedings are typically grounded in traditional intellectual property rights such as trade mark law and consumer protection legislation, albeit with varying levels of success. The nature of these causes of action are discussed in the following parts.

III. Traditional Causes of Action

There are several potential causes of action that major event organisers and official sponsors could use against ambush marketers. Those writing on the topic often refer to intellectual property rights as the starting point,²⁴ namely copyright, design and trade mark law, although as this section will illustrate, the remedies and scope of protection offered by these regimes are limited for those subjected to ambush marketing techniques. This part will briefly consider each of these causes of action in turn, focusing on the statutory regimes protecting major events from ambush marketing, which have come to dominate this space.

Turning first to copyright law. Copyright law protects original artistic, literary, dramatic and musical works. These works must be original for copyright to subsist. Therefore, it is possible that copyright may subsist in the symbols or designs associated with a major sporting event.²⁵ The unauthorised reproduction or adaptation of a substantial part of these works could in turn constitute copyright infringement, which is a useful form of protection in the context of a major event, especially since copyright protection arises automatically at law and does not require registration.²⁶ Thus, copyright may be of use where an ambush marketer engages in direct tactics by for instance, reproducing a substantial part of a logo in

²² T Meenaghan, 'Ambush Marketing – A Threat to Corporate Sponsorship' [1996] *Sloan Management Review* 103, 106.

²³ See, eg, *Australian Olympic Committee, Inc. v Telstra Corporation Limited* [2016] FCA 857 which will be discussed later in this chapter.

²⁴ J Sebel and D Gyngell, 'Protecting Olympic Gold: Ambush Marketing and Other Threats to Olympic Symbols and Indicia' (1999) 22(3) *University of New South Wales Law Journal* 691, 695–699.

²⁵ Although the originality requirement may preclude some trade marks from copyright protection. For instance, some have suggested the Olympic symbols would be unlikely to satisfy the originality requirement for copyright protection. See J Sebel and D Gyngell, 'Protecting Olympic Gold: Ambush Marketing and Other Threats to Olympic Symbols and Indicia' (1991) 22(3) *University of New South Wales Law Journal* 691, 695.

²⁶ Under the *Berne Convention* copyright must be automatic and it is prohibited for a national regime to require formal registration, although a member may require formalities, so long as they only apply to their own authors. See *Berne Convention for the Protection of Literary and Artistic Works* 1886.

which copyright subsists. But, outside of these types of direct tactics, the nature of copyright law means it would be of little assistance to a major event organiser or official sponsor subjected to ambush marketing. This is because copyright protects against substantial reproductions of original works, not false associations, which is at the core of most ambush marketing practices.

Design protection is similarly of little assistance to those who claim to be a victim of ambush marketing. The design system protects the overall visual appearance of new and distinctive products, including features such as the shape, colour, configuration, pattern and ornamentation of a product. Again, design law does little to protect against false association. Rather, design law typically protects against the reproduction and sale of registered designs, without authorisation. Moreover, if copyright protection subsisted in the logo or design associated with a major event, and that design was applied industrially to merchandise such as a hat or t-shirt, then copyright protection in the design could be lost under the complex copyright/design overlap provisions that exist in some jurisdictions.²⁷

Trade mark law may be somewhat more relevant, but it also has limited application to cases of ambush marketing, unless the ambush marketer is using direct tactics and using another's trade mark or trade indicia without authorisation. Trade mark law provides protection for signs that distinguish one person's goods and services in the marketplace. Trade mark registration protects owners against the use of those distinctive signs, or a sign that is substantially identical or deceptively similar so as to cause consumer confusion. But the infringing use must be use as a trade mark, that is, as an indicator of origin. Descriptive use or nominative use of a trade mark will not usually constitute trade mark infringement.²⁸ As such, although an ambush marketer may use for example, the Olympic logo associated with a particular host city (or the trade mark of another major event organiser) to suggest some kind of association with the Olympic Games and the IOC, this use will not necessarily amount to use as a trade mark, unless the Olympic symbol is being used to indicate that the goods or services derive from a particular trader or serve to distinguish the goods and services of the trader from the goods and services of other traders.

The law of passing off and consumer protection laws are of most relevance when it comes to ambush marketing. Passing off regulates trade misconduct and protects against injury to the business or goodwill of a trader caused by the unfair practices of another. There are three key elements to the tort of passing off as recited in the landmark decision of *Reckitt & Coleman Products Ltd v Borden Inc*

²⁷ See, eg, in Australia the Copyright Act 1965 (Australia) ss 74–77. For more on the copyright/design overlap see generally E Derclaye, *The Copyright/Design Interface* (Cambridge University Press, 2018).

²⁸ Descriptive use is a defence to a claim for trade mark infringement and allows a person to use another's trade mark to describe their own goods or services, rather than as a trade mark to indicate the source of the goods or services. Nominative use generally applies to comparative advertising, parody and non-commercial use of trade marks in academic articles and media reports. In Europe, comparative advertising must nevertheless comply with Directive 2006/114/EC of the European Parliament and of the Council of 12 December 2006 Concerning Misleading and Comparative Advertising.

(1990) (*Reckitt & Coleman*).²⁹ These are first, the subsistence of some reputation or goodwill on the part of the plaintiff. Second, a misrepresentation on the part of the defendant. Third and finally, the existence or threat of actual damage or the likelihood of damage to the plaintiff as a result of the conduct in question.³⁰

The classic case of passing off, as dealt with by the Court in *Reckitt & Coleman*, involves a misrepresentation as to the source of origin of goods typically concerning the unauthorised use of registered and/or common law trade marks. Over the years, the courts have expanded the types of actionable misrepresentations. In extending the tort of passing off, the courts can provide protection where there has been passing off as to the quality of goods.³¹ Passing off also protects against misrepresentations as to sponsorship, franchising or licensing.³² As such, passing off could apply to a case of ambush marketing, where the advertiser in question engages in conduct that implies there is some association between them and the major event organiser or wrongly implies that they are an official sponsor. These types of cases may also be actionable under the tort of unfair competition in those jurisdictions where it applies, if the ambush advertiser used the name, logo or other identifying characteristics of another to deceive consumers as to the source or association between the advertiser and another.³³

Consumer protection legislation which prohibits misleading and deceptive conduct is also relevant to ambush marketing practices. Consumer protection legislation typically prohibits unfair or deceptive acts or practices in or affecting commerce.³⁴ In Australia, the relevant prohibition is contained in the Australian Consumer Law (ACL) which sanctions misleading and deceptive conduct and would protect against direct ambush tactics that confuse consumers about an advertiser's affiliation or relationship with a major event organiser.³⁵ Even so, as the following discussion will demonstrate, this cause of action is difficult to establish, especially where the ambush marketer uses disclaimers, as was the case involving the Australian Olympic Committee ('the AOC') and telecommunication company Telstra Corporation Limited ('Telstra').

²⁹ See *Reckitt & Coleman Products Ltd v Borden Inc* (1990) 17 IPR 1, 406.

³⁰ *ibid.*

³¹ *Erven Warnink VB v J B Townend and Sons (Hull) Ltd* [1979] 2 All ER 927.

³² See, eg, *Edmund Irvine Tidswell v Talksport Ltd* [2002] EWHC 367 (Ch).

³³ For an international overview of the law of unfair competition see F Henning-Bodewig, *International Handbook on Unfair Competition* (Hart Publishing, 2013). For an American overview on the law of unfair competition see generally GB Dinwoodie and MD Janis (eds), *Trademark and Unfair Competition Law* 5th edn (Aspen Publishers Inc, 2018).

³⁴ See, eg, FTC Act 15 U.S.C. s 45(a)(1). In Europe, see Directive 2005/29/EC of 11 May 2005 Concerning Unfair Business-to-Consumer Commercial Practices. This Directive governs misleading actions and misleading omissions and would capture ambush marketing behaviour where an advertiser misrepresents for example their affiliation or connection with a major event organiser. See, in particular, Arts 6 and 7 of Directive 2005/29/EC of 11 May 2005 Concerning Unfair Business-to-Consumer Commercial Practices.

³⁵ See the Australian Consumer Law (ACL) which is set out in Sch 2 of the Competition and Consumer Act 2010 (Australia) and in particular s 18 of the ACL which provides that: 'A person must not, in trade or commerce, engage in conduct that is misleading or deceptive or is likely to mislead or deceive.'

In *Australian Olympic Committee, Inc v Telstra Corporation Limited*, the AOC brought proceedings against telecommunications company Telstra.³⁶ The case involved allegations of ambush marketing by Telstra and various promotions and advertisements they ran ahead of the 2016 Summer Olympic Games held in Rio de Janeiro, Brazil in August 2016. The AOC brought the proceedings in an attempt to halt the Telstra advertising campaign. Central to this dispute was an agreement between Telstra and the Seven Network, who was the sole broadcaster of the 2016 Olympics in Australia. Under this agreement, Telstra would sponsor Seven's broadcast of the Olympics; Seven would create a mobile app called 'Olympics on 7'; Telstra customers would be given premium access to the app for free; and Telstra could promote this access to its customers. While Telstra had previously been an official sponsor to the Australian Olympic team, it was not a sponsor of the Rio Olympics (rather, its competitor, Optus, was an official sponsor). It was clear from their agreement with Channel 7 there were limits on Telstra in relation to its advertising, marketing and promotion of the Olympics on 7 app. As noted by Wigney J in his judgment, 'Telstra must have been aware that its advertisements, marketing and promotions could not represent, or convey the impression, that it was an official sponsor or affiliated with the Rio Games or the IOC or AOC, at least without the consent of the IOC.'³⁷

Nevertheless, in 2016, Telstra released an advertising campaign promoting the upcoming Olympic Games. It included a television campaign which featured the Peter Allen song, 'I go to Rio' and footage of people participating in sports and watching sporting events on their mobile phones. The AOC alleged this conduct was misleading and deceptive (contravening sections 18 and 29 of the ACL) and an unlawful use of protected Olympic expressions for commercial purposes in breach of section 36 of the Olympic Insignia Protection Act 1987 (Australia).³⁸ The key question for the Court to consider was do the Telstra promotions and advertisements suggest to a reasonable person that Telstra is a sponsor of, or provided sponsor-like support to, bodies and teams associated with the Rio Olympic Games? Or do they simply suggest that Telstra sponsors Seven's broadcast of the Rio Olympic Games and promote the ability of Telstra customers to access the premium version of Seven's Olympic app? On this question, the Federal Court observed:

[t]here could again be no doubt that Telstra intended to, and may well have succeeded in, capitalising or exploiting, in a marketing sense, the forthcoming Rio Olympic Games. It intended to, and may well have succeeded in, fostering some sort of connection or

³⁶ *Australian Olympic Committee, Inc v Telstra Corporation Limited* [2016] FCA 857.

³⁷ *Australian Olympic Committee, Inc v Telstra Corporation Limited* [2016] FCA 857, 24.

³⁸ This Act was introduced to specifically address limitations in copyright, design and trade mark law protection of Olympic symbols and indicia, as outlined in the preceding part of this chapter. More specifically, the Act protects Olympic insignia by: (a) making the AOC the owner of copyright in the Olympic symbol; and (b) making the AOC the owner of certain Olympic designs – providing that the Olympic motto, the Olympic symbol and certain other Olympic images must not be registered as trade marks. See s 1A of the Olympic Insignia Protection Act 1987 (Australia). The Act also prohibits the commercial use of certain Olympic expressions unless the user holds a licence granted by the AOC.

association between the Rio Olympic Games and the Telstra “brand”. It did so, however, by effectively promoting its sponsorship arrangement with Seven in relation to Seven’s Olympic broadcast.³⁹

Even so, Wigney J, who was presiding over the matter, determined Telstra did not contravene the ACL or the Olympic Insignia Protection Act 1987 (Australia).⁴⁰ While some of the advertisements may have been ‘borderline’, none of the advertisements conveyed the representation that Telstra was associated with an Olympic body.⁴¹ More specifically, none of the advertisements showed any Olympic symbols, teams, or athletes, and any references to the Olympics were in the context of Seven’s Olympics broadcast. Critically, subsequent versions of those advertisements contained clear disclaimers, such as ‘Telstra is not an official sponsor of the Olympics’. According to Wigney J, ‘[t]hese words were “... sufficient to erase or reverse any impression that Telstra did sponsor an Olympic body.”’⁴² The AOC appealed the decision, but it was dismissed by the Full Court,⁴³ highlighting the ease in which the use of a disclaimer can defeat such a claim.

IV. Olympic Law and Major Event Legislation

In response to the apparent gaps in existing legal protections against ambush marketing as discussed above, and the commercialisation of sport more generally, the IOC (and similar international sporting organisations) have successfully lobbied for specific statutory regimes which some have described as ‘Olympic law’.⁴⁴ The beginnings of Olympic law can be traced back to 1984, when the Los Angeles Olympic Games organisers and the IOC agreed to restructure the provision and sale of Olympic sponsorship rights.⁴⁵ The result was the IOC’s Olympic Partner Programme which was officially formed in 1985.⁴⁶ This Programme revolutionised the sale and distribution of sport sponsorship assets, limiting the number of official sponsors of IOC events and increasing the financial value of IOC sponsorship packages.⁴⁷

³⁹ *Australian Olympic Committee, Inc v Telstra Corporation Limited* [2016] FCA 857, 149.

⁴⁰ *Australian Olympic Committee, Inc v Telstra Corporation Limited* [2016] FCA 857.

⁴¹ *ibid* 92. This was with regard to the television commercial featuring the Peter Allen song ‘I go to Rio’.

⁴² *ibid* 143.

⁴³ *Australian Olympic Committee, Inc v Telstra Corporation Limited* [2017] FCAFC 165.

⁴⁴ M James and G Osborn, ‘The Olympics, Transnational Law and Legal Transplants: The International Olympic Committee, Ambush Marketing and Ticket Touting’ (2016) 36(1) *Legal Studies* 93–110. The authors talk about ‘Olympics Law’ within the broader framework of sports law.

⁴⁵ N Burton and Chadwick, ‘Ambush Marketing Is Dead, Long Live Ambush Marketing’ (2018) 58(3) *Journal of Advertising Research* 282, 283.

⁴⁶ The International Olympic Committee, *The Olympic Partner Program* www.olympic.org/partners (last accessed 20 August 2021).

⁴⁷ For a general discussion see M Payne, ‘Reinventing the Rings’ (2005) 16(1) *Business Strategy Review* 14–21; DM Sandler and D Shani, ‘Olympic Sponsorship vs Ambush Marketing – Who Gets the Gold?’ (1989) 29(4) *Journal of Advertising Research* 9–14. Also see D Adamek, ‘The Secrets to Successful

Furthermore, when a country bids for the right to host the summer or winter Olympic games, they must also enact legislation to protect official IOC partners from both ambush marketing and infringement of their trade marks.⁴⁸ This legislation has become increasingly rigorous, both in its technical detail and in its enforcement.⁴⁹ As a result, the sale and acquisition of Olympic marketing rights has become strongly protected territory, and is entirely off limits to brands and corporations that either cannot pay or do not want to pay for rights of association.⁵⁰ See, for example, the London Olympic Games and Paralympic Games Act 2006 (UK), which was enacted to coincide with the 2012 London Summer Olympic Games and created an 'association right'.⁵¹ The Act provides for civil and criminal penalties for offences and covers not just appropriation and misappropriation of other rights, but also an elastic notion of association far beyond the scope of traditional intellectual property protection.⁵²

The nature of these rights and scope of the legislation enacted by host cities has expanded over the years. This has allowed the IOC to create transnational legal norms by requiring specific laws to be enacted for its own benefit. More than that, these laws have been embraced as a template for further forced legal transplants at subsequent Olympic Games and at other sporting mega-events around the world, driving the development of transnational sports law through the creation of Olympic legal norms – that is, Olympic law.⁵³ Indeed, sporting organisations across the world have replicated the IOC's sponsorship model, including the

Olympic Sponsorships', *Financial Management* (7 February 2018) www.fmmagazine.com/news/2018/feb/successful-olympic-sponsorships-201818262.html (last accessed 20 August 2021), (noting the 2016 Summer Olympics in Rio de Janeiro garnered a broadcast television audience of more than 3.5 billion viewers, with billions more views on digital platforms).

⁴⁸ M James and G Osborn, 'The Olympics, Transnational Law and Legal Transplants: The International Olympic Committee, Ambush Marketing and Ticket Touting' (2016) 36(1) *Legal Studies* 93–110.

⁴⁹ T Scassa, 'Ambush Marketing and the Right of Association: Clamping Down on References to That Big Event with All the Athletes in a Couple of Years' (2011) 25(4) *Journal of Sport Management* 354–370.

⁵⁰ N Burton and Chadwick, 'Ambush Marketing Is Dead, Long Live Ambush Marketing' (2018) 58(3) *Journal of Advertising Research* 282, 283.

⁵¹ The Act provides for three rights of association: the right to be associated with: (1) the Olympics generally; (2) the Paralympics generally; and (3) the London Olympics 2012. As to each of these rights, and the operation of the London Olympic Games and Paralympic Games Act 2006 (UK) see H Padley, 'London 2012: Five Years, Nine Months and Counting' (2006) 28(11) *European Intellectual Property Review* 586–590. For more on the purpose of the Act and its aim to among other things control '... marketing in connection with the Olympic Games, including the protection of Olympic intellectual property, restrictions on commercial association with the Games, the prohibition of street trading and outdoor advertising in the vicinity of Olympic venues and of ticket touting in connection with Olympic events ...'. See Explanatory Notes, London Olympic Games and Paralympic Games Act 2006 in the UK Public General Acts 2006, ch 12 www.legislation.gov.uk/ukpga/2006/12/notes (last accessed 20 August 2021).

⁵² For more on the 'IP effect' of these kinds of Olympic laws see M James and G Osborn, 'Guilty by Association: Olympic Law and the IP Effect' (2013) 2 *Intellectual Property Quarterly* 97–113.

⁵³ M James and G Osborn, 'The Olympics, Transnational Law and Legal Transplants: The International Olympic Committee, Ambush Marketing and Ticket Touting' (2016) 36(1) *Legal Studies* 93, 97.

Fédération Internationale de Football Association (FIFA), the Union of European Football Associations, and the Association of Tennis Professionals.⁵⁴

As well as providing the sponsorship governance template for major sporting events around the world, several countries have passed generic legislation with a view to bypassing the need to enact new legislation each time a major event is hosted. New Zealand for example, has passed the Major Events Management Act 2007 (New Zealand), the purpose of which is to, among other things, protect declared major events and prevent the unauthorised commercial exploitation at the expense of either a major event organiser or a major event sponsor.⁵⁵ Australia has done the same with the Major Sporting Events (Indicia and Images) Protection Act 2014 (Australia), which ‘... provides special protection in relation to the use for commercial purposes of indicia and images connected with certain major sporting events’.⁵⁶

In general terms, these types of statutes stipulate that a person cannot use a major sporting event’s protected indicia or images for commercial purposes during the event’s protection period, unless the person is an official user for the event. These statutes also generally provide their own statutory cause of action for the organisers of these major events and authorised users, that is, official sponsors. So, for example, under the Major Sporting Events (Indicia and Images) Protection Act 2014 (Australia), a person who uses a major sporting event’s protected indicia or images for commercial purposes during the event’s protection period, may be subject to litigation. Remedies are available for both the authorising body and official sponsors of the event and include injunctions, damages or an account of profits and even the publication of corrective advertising.⁵⁷

Similar protections have been enacted in South Africa by way of the aforementioned Merchandise Marks Act 1941 and particularly section 15A, which allows the Minister of Trade and Industries to prohibit the use of certain marks relating to major events.⁵⁸ The IOC and other major event organisers can rely on this Act and make an application to the Minister to prohibit others from using a trade mark

⁵⁴ N Burton and Chadwick, ‘Ambush Marketing Is Dead, Long Live Ambush Marketing’ (2018) 58(3) *Journal of Advertising Research* 282, 283.

⁵⁵ Section 3 of the Major Events Management Act 2007 (New Zealand) describes the purposes of the Act as providing certain protections for events that are declared to be major events under this Act in order to: (i) obtain maximum benefits from the major event for New Zealanders; and (ii) prevent unauthorised commercial exploitation at the expense of either a major event organiser or a major event sponsor; and (iii) ensure the smooth running of the major event. The purpose of the Act is also to provide for the protection, and control over the use, of certain emblems and words relating to Olympic Games and Commonwealth Games.

⁵⁶ Major Sporting Events (Indicia and Images) Protection Act 2014 (Australia) s 4. The Australian states and territories have passed similar legislation. For more see L Dale ‘Australia’s Major Sporting Events Protection Bill 2014 (Cth)’, *World Sports Law Report* (3 June 2014) www.e-comlaw.com/sportslawblog/ (last accessed 20 August 2021).

⁵⁷ Major Sporting Events (Indicia and Images) Protection Act 2014 (Australia) ss 45–50 (Pt 5).

⁵⁸ Section 15A of The Merchandise Marks Act 17 of 1941 (South Africa) provides: ‘The Minister may, after investigation and proper consultation and subject to such conditions as may be appropriate in the circumstances, by notice in the Gazette designate an event as a protected event ...’.

in relation to a major event in a manner which is calculated to achieve publicity for that trade mark and thereby to derive special promotional benefit from the event, without the prior authority of the organiser of such event.⁵⁹ The offences contained under the Act are criminal, and offenders may be liable to pay a fine or be imprisoned.⁶⁰

Section 15A was inserted into the Merchandise Marks Act 1941 in 2002, when South Africa hoped to host the 2008 Olympic Games,⁶¹ but it was instead used to protect the 2010 FIFA World Cup.⁶² This event was designated as a protected event under section 15A on 25 May 2006 and the protection afforded under the Act ran from that date until six months after the event. This meant FIFA was protected against ambush marketing for a period of four years before the event and six months after it concluded. During this period, FIFA relied heavily on section 15A to protect its brand. Several small businesses were targeted, including a popular pub near Loftus Versfeld (one of the venues) known as Eastwoods Tavern, which apparently painted the words WORLD CUP 2010 on its roof and flew the flags of the participating countries.⁶³ But it was an ambush marketing dispute involving Bavaria, which received worldwide attention.

V. The 2010 World Cup

At the 2010 World Cup in South Africa, 36 young women all wearing unbranded orange mini dresses, attended a football match to watch the Dutch team (also dressed in the national colour of orange). It is unclear how the woman obtained the dresses. Some accused Bavaria of paying the woman to attend the match and providing them with the apparel.⁶⁴ But the dresses worn by the women were also available to customers as part of a promotional pack Bavaria offered when purchasing a pack of their beer.⁶⁵ The women were ejected from the stadium by FIFA,

⁵⁹ The Merchandise Marks Act 1941 (South Africa) s 15A.

⁶⁰ *Ibid* s 20.

⁶¹ Section 15A was inserted into the Act by s 2 of Act 61 of 2002.

⁶² R Kelbrick, 'The W***D C*P of 2*1*: FIFA's Intellectual Property Rights in South Africa' (2008) 3(5) *Journal of Intellectual Property Law & Practice* 327, 327.

⁶³ FIFA sued in the North Gauteng Division of the High Court (Pretoria). Few details exist as to the exact nature of the claim as it appears Eastwoods mounted no defence and consented to the judgment. See R Wheeldon, 'Controversy over FIFA World Cup 2010 Trademarks' (15 June 2009) www.internationalallawoffice.com/Newsletters/Intellectual-Property/South-Africa/Ron-Wheeldon-Attorneys/Controversy-over-FIFA-World-Cup-2010-Trademarks (last accessed 20 August 2021). For newspaper reports see B Bateman, 'Pub Owner in Trouble for 2010 Signs', *IOL* (15 December 2006) www.iol.co.za/news/south-africa/pub-owner-in-trouble-for-2010-signs-307610 (last accessed 20 August 2021).

⁶⁴ See 'Bavaria's Infamous Orange Dress Bleacher Stunt Pushes Limits', *Event Marketer* (22 June 2010) www.eventmarketer.com/article/bavaria-s-infamous-orange-dress-bleacher-stunt-pushes-limits-ambush-marketing/ (last accessed 20 August 2021).

⁶⁵ Eva van den Hout, Bavaria spokesperson said in a statement released on 16 June 2010: 'The Dutch Dresses didn't have a big brand name logo. Over 200, 000 orange dresses had been sold in supermarkets in the Netherlands with an eight-pack of Bavaria beer.' See 'Bavaria's Infamous Orange Dress Bleacher

who claimed their activity ambushed the rights of the official sponsor, Budweiser and were part of a campaign to promote Bavaria branded beer. Although the women were ejected and the ambush marketing campaign was disrupted by FIFA, FIFA nevertheless persisted and attempted to enforce their rights under the Merchandise Marks Act 1941. Their initial enforcement efforts were not directed at Bavaria however, but rather at the woman who took part in the ambush marketing campaign and who were arrested at the stadium, pursuant to the Merchandise Marks Act 1941. This case, therefore, differs from the various examples discussed in this chapter. In the aforementioned cases, Olympic authorities and major event organisers pursued the advertisers and brands responsible for the ambush marketing campaigns. In this instance, FIFA targeted the individuals involved – the fans who were at the football match. But FIFA also exercised its rights under the Merchandise Marks Act 1941 more broadly.

As previously noted, section 15A of the Merchandise Marks Act 1941 empowers the Minister of Trade and Industry to declare a major sporting or other event to be a protected event. Such a declaration gives rise to various procedures to prevent ambush marketing and pronounces violations of the provisions to be criminal offences. The scope of protection afforded by section 15A is broadly defined. Section 15A(2) provides that for the period during which an event is protected ‘... no person may *use a trade mark* in relation to such event in a manner which is calculated to achieve publicity for that trade mark and thereby to derive special promotional benefit from the event, without the prior authority of the organiser of such event’.⁶⁶ The concept of trade mark use is defined under section 15A(3) as:

- (a) any visual representation of the trade mark upon or in relation to goods or in relation to the rendering of services;
- (b) any audible reproduction of the trade mark in relation to goods or the rendering of services; or
- (c) the use of the trade mark in promotional activities, which in any way, directly or indirectly, is intended to be brought into association with or to allude to an event.⁶⁷

The definition of trade mark use set out in section 15A(3) of the Act differs from the traditional definition of trade mark use – that is, use as a trade mark to indicate source.⁶⁸ Indeed, the Merchandise Marks Act 1941 gives designated trade marks

Stunt Pushes Limits’, *Event Marketer* (22 June 2010) www.eventmarketer.com/article/bavaria-s-infamous-orange-dress-bleacher-stunt-pushes-limits-ambush-marketing/ (last accessed 20 August 2021).

⁶⁶ The Merchandise Marks Act 17 of 1941 (South Africa) s 15A(2) (emphasis added).

⁶⁷ *ibid* s 15A(3).

⁶⁸ See, eg, the definition of a trade mark in the South African Trade Marks Act 194 of 1993, s 2(1) which defines a trade mark as: ‘... a mark used or proposed to be used by a person in relation to goods or services for the purpose of distinguishing the goods or services in relation to which the mark is used or proposed to be used from the same kind of goods or services connected in the course of trade with any other person.’ This definition accords to the traditional origin function of a trade mark, where a registered trade mark must be distinctive, and be registered in a specific class for particular goods and services.

of international organisations protection that far exceeds what is available under the Trade Marks Act 194 of 1993 (South Africa) (Trade Marks Act 1993), and the complementary causes of action found in passing off and consumer protection legislation.

As flagged in the preceding part, the 2010 FIFA World Cup enjoyed the benefits of such protection and it was widely used by FIFA during the protected period, including in this case.⁶⁹ But FIFA went further than relying on section 15A of the Merchandise Marks Act 1941 when it came to the 2010 World Cup and sought a declaration from the Minister relating to 'prohibited marks', relying on section 15(1)(b) of the Act. Section 15(1)(b) of the Merchandise Marks Act 1941 provides that the Minister may, after such investigation as he or she may think fit, by notice in the Gazette, prohibit either absolutely or conditionally the use of among other things '... any mark, word, letter or figure or any arrangement or combination thereof, in connection with any trade, business, profession, occupation or event, or in connection with a trade mark, mark or trade description applied to goods'⁷⁰

A notice in the Government Gazette, published on 21 June 2007, contains the long list of devices and words which FIFA requested protection for under the Merchandise Marks Act 1941.⁷¹ This requested list of 'prohibited marks' included every World Cup logo ever used, and also included words such as WORLD CUP, 2010, SOUTH AFRICA WORLD CUP, TWENTY TEN, WORLD CUP SOUTH AFRICA, DURBAN 2010, SA 2010 and SOCCER WORLD CUP.⁷² Significantly, this list included descriptive words and included subject matter that otherwise would not have been capable of protection as a trade mark under the Trade Marks Act 1993. The implications of declaring these descriptive marks as prohibited under section 15(1)(b) of the Merchandise Marks Act 1941 were far reaching. Commenting on the operation of section 15(1)(b), Roshana Kelbrick notes:

It clearly includes a prohibition on use as a trade mark for goods and services. However, unlike trade marks, no class is specified. So if viewed as a type of trade mark, these words and numerals are protected in respect of all goods and all services. Again, if viewed as trade marks, these words or emblems are not subject to the tests for registrability imposed by the Trade Marks Act 1993. Neither are they subject to the endorsements recorded against the same words or emblems registered in terms of that Act. Thus, words and numerals such as world cup, South Africa, and 2010 are not subject to disclaimers.⁷³

⁶⁹One case involved Met Cash which involved the sale of lollipops packaged in wrappers decorated with the South African flag and footballs. For more examples see K de Beer, 'Let the Games Begin – Ambush Marketing and Freedom of Speech' (2012) 6(2) *Human Rights & International Discourse* 284, 289.

⁷⁰The Merchandise Marks Act 17 of 1941 (South Africa) s 15(1)(b).

⁷¹Notice 787 of 2007 'Proposed Prohibition on the Use of Certain Words and Emblems for FIFA World Cup 2007', *Government Gazette* (South Africa) 30001 (21 June 2007).

⁷²R Kelbrick, 'The W***D C*P of 2*1*: FIFA's Intellectual Property Rights in South Africa' (2008) 3(5) *Journal of Intellectual Property Law & Practice* 327, 331.

⁷³*ibid* 333.

Accordingly, if FIFA were successful in its application, the words SOUTH AFRICA 2010 for example, could not be used to describe a vintage of wine or a flight schedule.⁷⁴ FIFA was naturally criticised at the time for making this claim. Until that point, prohibited mark status had been granted sparingly in South Africa, and practitioners argued: '[t]he use of the act in this way is a radical departure and given that South Africa has a fully functional trademark and copyright law with more than adequate remedies for FIFA to use against infringers and counterfeiters, it seems to set a dangerous precedent, as well as being wholly unnecessary.'⁷⁵

Perhaps this is the reason why Mandisi Mpahlwa, the Minister of Trade and Industry subsequently read down FIFA's request so that it '... only applies to activities connected to 2010 FIFA World Cup SOUTH AFRICA in the area of Football or Soccer 2010 World Cup.'⁷⁶ In making this decision, the Minister also declared '[t]he prohibition does not apply to the media, provided the reportage is fair and not imbued with unscrupulous business enterprising.'⁷⁷ This decision appeared to limit the scope of protection afforded under the Merchandise Marks Act 1941 in a way which better accords to trade mark principles, a point the Minister noted would guide his decision when FIFA first made its application.⁷⁸ But the fact remains, the Merchandise Marks Act 1941 and analogous statutes do provide for rights that far exceed those provided under the intellectual property system, which begs the question about the legitimacy of these laws.

VI. Lacking Legitimacy?

The broad scope of legislation such as the Merchandise Marks Act 1941 has caused some scholars to describe these expansionist regimes as 'super IP', 'quasi IP', 'über-rights' and 'IP plus' – all of which '... denote an intellectual property regime that goes beyond the parameters of traditional IP laws and, in these circumstances, extends the protection available to the very specific circumstances associated with

⁷⁴ For other examples and criticism, see *ibid* 332.

⁷⁵ R Wheeldon, 'Controversy over FIFA World Cup 2010 Trademarks' (15 June 2009) www.internationallawoffice.com/Newsletters/Intellectual-Property/South-Africa/Ron-Wheeldon-Attorneys/Controversy-over-FIFA-World-Cup-2010-Trademarks (last accessed 20 August 2021).

⁷⁶ General Notice 1791 of 2007 'Prohibition on the Use of Certain Words and Emblems for 2010 FIFA World Cup South Africa', *Government Gazette* (South Africa) 30595 (14 December 2007). Under the notice, several logos and the following words were declared 'prohibited': 2010 FIFA WORLD CUP SOUTH AFRICA; WORLD CUP 2010; RSA 2010; FOOTBALL WORLD CUP; SOUTH AFRICA 2010; SA 2010; 2010 FIFA WORLD CUP; AFRICA 2010; SOCCER WORLD CUP.

⁷⁷ General Notice 1791 of 2007 'Prohibition on the Use of Certain Words and Emblems for 2010 FIFA World Cup South Africa', *Government Gazette* (South Africa) 30595 (14 December 2007) 3.

⁷⁸ On this, the Minister stated: 'Please note that in deciding on this matter, I will also consider principles contained in the Trade Marks Act, 1993 (Act No. 194 of 1993), dealing with issues considered before trade marks are granted or not granted.' See Notice 787 of 2007 'Proposed Prohibition on the Use of Certain Words and Emblems for FIFA World Cup 2007', *Government Gazette* (South Africa) 30001 (21 June 2007) 3.

hosting the Olympic Games.⁷⁹ There is a serious legitimacy question to be asked. Is the use of the coercive power of the state to protect a private body's commercial rights appropriate, legitimate or even lawful?⁸⁰ Furthermore, the prohibition of ambush marketing and other forms of commercial expression may constitute a limitation to the right to freedom of expression. The European Court of Human Rights has repeatedly stated that information of a commercial nature is protected by Article 10 of the European Convention on Human Rights (ECHR).⁸¹ The Human Rights Committee of the United Nations has also placed commercial speech within the scope of Article 19 of the International Covenant on Civil and Political Rights (ICCPR).⁸² The South African legislation has been criticised in this regard, for impinging upon the right to free speech, as many features of the Merchandise Marks Act 1941 may not be consistent with Article 10 of the ECHR and Article 19 of the ICCPR.⁸³ It is also questionable whether the association rights contained in the London Olympic Games and Paralympic Games Act 2006 (UK) comply.⁸⁴

The IOC and national legislators could guard against these kinds of criticisms by amending their major event and event-specific legislation. The ability to use criminal law measures, especially imprisonment, is likely to be found a disproportionate limitation of freedom of speech if challenged.⁸⁵ As such, national legislators could either not make use of criminal law measures at all, or at most in a very limited way. The definitions of the association rights could also be formulated less broadly, so as not to expand the rights of major event organisers and official sponsors beyond the limits of the intellectual property system and in such a way as to limit free speech. For instance, the association rights could exclude local businesses, as consumers would unlikely be confused or believe they were official sponsors of major events like the Olympic Games or the FIFA World Cup.

⁷⁹ M James and G Osborn, 'Guilty by Association: Olympic Law and the IP Effect' (2013) 2 *Intellectual Property Quarterly* 97, 99. The authors prefer to refer to this phenomenon as 'super IP'. As to the alternative categorisations see H Padley, 'London 2012: Five Years, Nine Months and Counting' (2006) 28(11) *European Intellectual Property Review* 586–590. Also see V Horsey, R Montagnon and J Smith, 'The London Olympics 2012 – Restrictions, Restrictions, Restrictions' (2012) 7(10) *Journal of Intellectual Property Law and Practice* 715–727. Finally see P Johnson, 'Look Out! It's an Ambush!' (2008) 2(3) *International Sports Law Review* 24–29.

⁸⁰ Mark James and Guy Osborn argue 'There appears to be no sound jurisprudential basis for the introduction of this super IP right of association. ... there is almost no analysis of whether the use of the coercive power of the state to protect a private body's commercial rights is appropriate, legitimate or even lawful. In addition, it is arguable that there is little or no rationale for event specific legislation such as this, and that the problem of ambush marketing could be easily and effectively dealt with by adopting less aggressive brand protection and a more targeted educative strategy.' See M James and G Osborn, 'Guilty by Association: Olympic Law and the IP Effect' (2013) 2 *Intellectual Property Quarterly* 97, 112.

⁸¹ ECtHR 20 November 1989, Application No 10572/83, (*Markt Intern Verlag v Germany*) 28.

⁸² UNHRC 31 March 1993, Communications No 359/1989 (*Ballantyne, Davidson & McIntyre v Canada*) 11.3.

⁸³ K de Beer, 'Let the Games Begin – Ambush Marketing and Freedom of Speech' (2012) 6(2) *Human Rights & International Discourse* 284–301.

⁸⁴ *ibid* 294.

⁸⁵ *ibid* 284, 301.

And then there is the court of public opinion which will judge the likes of the IOC and FIFA. The ruthless attempt to take advantage of these regimes and the expansive provisions which protect major event organisers may cause more damage for these organisations than the ambush campaign itself. Research suggests the public and the media can react positively to ambush marketing, as they ‘... welcome the creative ambition and innovative approaches dreamt up by the marketers and feel that there is some sport to be had, and no great lasting harm, in ruffling the feathers of the organizers and the corporate giants.’⁸⁶

For FIFA and their claim against the female spectators, their attempt backfired. Many consider the press coverage surrounding the stunt effectively cemented the association between Bavaria and the World Cup in the minds of consumers.⁸⁷ Furthermore, the saga caused a diplomatic riff, and the Dutch Foreign Minister, Maxime Verhagen, was quoted by *De Telegraaf* newspaper as saying the arrest was both disproportionate and senseless and that ‘[i]f South Africa or Fifa (sic) want to go after a company for an illegal advertising campaign, they should start a legal case against the company and not against ordinary citizens who are walking around in an orange dress.’⁸⁸ This was not the first time the Dutch beer company has clashed with FIFA. In 2006 at the World Cup in Germany, FIFA ordered thousands of Dutch fans to remove orange lederhosen bearing the name of Bavaria, leaving them in nothing but their underwear. Instead of reflecting on the negative press that followed that incident,⁸⁹ FIFA doubled down on enforcing its rights at the 2010 World Cup and took advantage of the Merchandise Marks Act 1941, but this time, going one step further and targeting the fans.

This strategy of directly targeting spectators as opposed to the ambush advertisers themselves was seemingly the tipping point. Eventually, FIFA backed down, and amid a storm of public backlash, FIFA dropped all the charges in a settlement negotiated with Bavaria.⁹⁰ Details about the surrounding circumstances are scant, but a spokesman for South Africa’s National Prosecuting Authority was reported as saying ‘FIFA was not interested in proceeding with the matter. There was a settlement that was reached between the parties and we decided to exercise discretion and not proceed with the matter.’⁹¹ A wise decision, after all.

⁸⁶ D Cran and S Griffiths, ‘Ambush Marketing: Unsporting Behaviour or Fair Play?’ (2010) 21(8) *Entertainment Law Review* 293.

⁸⁷ K Park, ‘Ambush Marketing: When Sponsors Cry “Foul”’, *WIPO Magazine* (April 2019) www.wipo.int/wipo_magazine/en/2019/02/article_0004.html (last accessed 20 August 2021).

⁸⁸ ‘World Cup 2010: Women Arrested Over ‘Ambush Marketing’ Freed on Bail’, *The Guardian* (17 June 2010) www.theguardian.com/football/2010/jun/16/fifa-world-cup-ambush-marketing (last accessed 20 August 2021).

⁸⁹ L Harding and A Culf, ‘The New World Cup Rule: Take off Your Trousers, They’re Offending Our Sponsor’, *The Guardian* (19 June 2006) www.theguardian.com/media/2006/jun/19/marketingandpr.worldcup2006 (last accessed 20 August 2021).

⁹⁰ R Parsons, ‘FIFA Hits Back at Bavaria After Ambush Marketing Stunt’, *MarketingWeek* (17 June 2010) www.marketingweek.com/fifa-hits-back-at-bavaria-after-ambush-marketing-stunt/ (last accessed 20 August 2021).

⁹¹ R Parsons, ‘FIFA Drops Charges Against Ambush Marketing Girls’, *MarketingWeek* (23 June 2010) www.marketingweek.com/fifa-drops-charges-against-ambush-marketing-girls/ (last accessed 20 August 2021).

VII. Conclusion

Transnational Olympic law norms and nation specific statutory regimes which protect against the unauthorised use of designated major event insignia have emerged all over the world. These regimes provide sporting organisations such as the IOC and FIFA protection far beyond the traditional bounds of the intellectual property system. They also potentially encroach on the right to free speech. But as the preceding discussion has shown, any limitation to speech must be proportionate. Were the measures taken by FIFA against the female spectators proportionate to protect it against ambush marketing? Legislation such as the Merchandise Marks Act 1941 is designed to guarantee exclusive rights to sponsors and enable international sporting organisations to attract sponsors. It is unlikely criminal penalties and imprisonment would ever be considered an appropriate and proportionate penalty to protect FIFA against the threat of ambush marketing. Perhaps this is why FIFA dropped all charges. As for the small businesses who were targeted during the 2010 World Cup, it is highly unlikely that advertisements made by small, local businesses are an actual threat to the commercial rights of FIFA. Moreover, it is highly unlikely that consumers would be misled and believe that a local tavern would have secured rights as an official sponsor for the FIFA World Cup. Even so, FIFA exercised its rights under the Merchandise Marks Act 1941, as it was entitled to do.

But there are real reputational risks for sporting organisations who pursue spectators and small businesses for their ambush marketing activities at all costs. There are also serious legitimacy questions about legislation such as the Merchandise Marks Act 1941, which may yet be subject to legal challenge. So, as we prepare for the next FIFA World Cup in Qatar in 2022, it is timely to reflect on the scope of these Olympic laws and norms and remember these causes of action should not be used to extend brand owners' right beyond what is necessary to prevent consumer confusion, and it most certainly should not be used to limit the speech of team supporters or consumers.

